OFFICE LEASE AGREEMENT

Serramonte Plaza
2001 Junipero Serra Blvd, Daly City, CA 94014

THIS OFFICE LEASE AGREEMENT (this "Lease") is entered into by and between **Serramonte Retail Partners LLC**, a California limited liability company ("Landlord"), and **Northbay Coffee Company of California, Inc.**, a California corporation ("Tenant"), and is effective as of January 1, 2024.

BASIC LEASE INFORMATION

Premises	Suite 210, Serramonte Plaza
Rentable Square Feet	6,200 rentable square feet
Commencement Date	January 1, 2024
Expiration Date	December 31, 2028
Initial Term	5 years
Initial Monthly Base Rent	$18,500.00
Annual Escalation	3.00% per annum
Estimated Operating Expenses	$11.50 per rentable square foot per annum
Security Deposit	$37,000.00
Permitted Use	Retail coffee shop and café, with the sale of food and beverages

ARTICLE 1. PREMISES

1.1 **Demise.** Landlord hereby leases to Tenant, and Tenant hereby leases from Landlord, those certain premises designated as Suite 210 (the “Premises”) in the building commonly known as Serramonte Plaza and located at 2001 Junipero Serra Blvd, Daly City, CA 94014 (the “Building”), together with the non-exclusive right to use the Common Areas.

1.2 **Rentable Area.** The Premises are stipulated to contain 6,200 rentable square feet. The Building is stipulated to contain 64,000 rentable square feet. Tenant’s Proportionate Share is 9.69%, computed as the rentable area of the Premises divided by the rentable area of the Building. The foregoing measurements are conclusive and binding on the parties and shall not be subject to remeasurement during the Term.

1.3 **Common Areas.** “Common Areas” means all areas of the Building and the surrounding land made available by Landlord for the common use of tenants, including lobbies, corridors, elevators, restrooms, parking areas, driveways and landscaped areas. Landlord reserves the right to modify the Common Areas provided such modification does not materially and adversely affect Tenant’s access to the Premises.

ARTICLE 2. TERM

2.1 **Initial Term.** The term of this Lease (the “Term”) shall commence on January 1, 2024 (the “Commencement Date”) and shall expire at 11:59 p.m. on December 31, 2028 (the “Expiration Date”), unless sooner terminated or extended in accordance with the provisions of this Lease. The Initial Term is 5 years.

2.2 **Delivery.** Landlord shall deliver the Premises to Tenant on or before the Commencement Date in broom-clean condition with all building systems serving the Premises in good working order. Tenant’s taking of possession shall constitute acceptance of the Premises, subject to latent defects and to any punch-list items delivered to Landlord within thirty (30) days following the Commencement Date.

2.3 **Holding Over.** If Tenant remains in possession after the Expiration Date without Landlord’s written consent, such possession shall be a tenancy at sufferance terminable at will, and Base Rent shall be one hundred fifty percent (150%) of the Base Rent in effect immediately prior to the Expiration Date.

ARTICLE 3. BASE RENT

3.1 **Base Rent.** Tenant shall pay to Landlord as base rent for the Premises ("Base Rent") the amounts set forth in the Base Rent Schedule below, without prior notice or demand and without any setoff, abatement or deduction whatsoever, in lawful money of the United States. The initial Monthly Base Rent is $18,500.00 per month.

3.2 **Time of Payment.** Base Rent shall be due and payable in advance on the first (1st) day of each calendar month during the Term. Rent for any partial calendar month shall be prorated on the basis of a thirty (30) day month.

3.3 **Escalation.** Commencing on the first anniversary of the Commencement Date and on each anniversary thereafter during the Term, the Monthly Base Rent shall increase by 3.00% per annum. For the avoidance of doubt, each such increase is applied to the Monthly Base Rent in effect immediately prior to the applicable anniversary, and is not compounded more frequently than annually.

BASE RENT SCHEDULE

Lease Year	Period	Monthly Base Rent	Annual Base Rent
1	Jan 1, 2024 – Dec 31, 2024	$18,500.00	$222,000.00
2	Jan 1, 2025 – Dec 31, 2025	$19,055.00	$228,660.00
3	Jan 1, 2026 – Dec 31, 2026	$19,626.65	$235,519.80
4	Jan 1, 2027 – Dec 31, 2027	$20,215.45	$242,585.40
5	Jan 1, 2028 – Dec 31, 2028	$20,821.91	$249,862.92

3.4 **Late Charge.** If any installment of Base Rent is not received by Landlord within five (5) days after the date due, Tenant shall pay a late charge equal to five percent (5%) of the overdue amount. A late charge shall not be assessed on any installment actually received by Landlord on or before the date due, regardless of the date on which such payment is posted by Landlord.

ARTICLE 4. OPERATING EXPENSES AND ADDITIONAL RENT

4.1 **Estimated Operating Expenses.** In addition to Base Rent, Tenant shall pay Tenant's Proportionate Share of Operating Expenses. Landlord's current estimate of Operating Expenses is $11.50 per rentable square foot per annum, payable in monthly installments of $5,941.67 concurrently with Base Rent.

4.2 **Definition.** "Operating Expenses" means all costs actually incurred by Landlord in owning, operating, maintaining, repairing and managing the Building and Common Areas, including utilities serving the Common Areas, janitorial and landscaping services, security, non-structural repairs, property management fees, real property taxes and insurance premiums.

4.3 **Exclusions.** Operating Expenses shall expressly exclude: (a) capital improvements and capital replacements, except that the cost of a capital item required by law or installed to reduce Operating Expenses may be amortized over its useful life and included at the annual amortized amount; (b) leasing commissions, marketing costs and tenant improvement allowances; (c) costs reimbursed by insurance proceeds, warranty or any other tenant; (d) interest and principal on any mortgage; and (e) costs arising from Landlord's negligence or willful misconduct.

4.4 **Management Fee Cap.** The property management fee included in Operating Expenses shall not exceed four percent (4%) of gross rental receipts for the Building in any calendar year.

4.5 **Controllable Expense Cap.** Tenant's Proportionate Share of Controllable Operating Expenses shall not increase by more than five percent (5%) per calendar year on a cumulative, compounding basis over the amount payable for the prior calendar year. "Controllable Operating Expenses" means all Operating Expenses other than real property taxes, insurance premiums, utilities and snow removal.

4.6 **Reconciliation.** Within one hundred twenty (120) days after the end of each calendar year, Landlord shall deliver to Tenant a statement setting forth the actual Operating Expenses for such year and Tenant's Proportionate Share thereof. Any overpayment shall be credited against the next installments of Additional Rent; any underpayment shall be paid by Tenant within thirty (30) days after delivery of the statement.

4.7 **Audit Right.** Tenant shall have the right, exercisable not later than one hundred eighty (180) days after receipt of Landlord's annual statement, to audit Landlord's books and records relating to Operating Expenses for the calendar year covered by such statement. If such audit discloses an overstatement exceeding three percent (3%), Landlord shall bear the reasonable cost of the audit.

4.8 **Proportionate Share.** Tenant's Proportionate Share for purposes of this Article 4 is 9.69%. No Operating Expense shall be allocated to Tenant in excess of Tenant's Proportionate Share of the expense actually incurred, and no single expense may be allocated more than once among the tenants of the Building.

ARTICLE 5. SECURITY DEPOSIT

5.1 **Deposit.** Concurrently with Tenant's execution of this Lease, Tenant shall deposit with Landlord the sum of $37,000.00 as a security deposit for the faithful performance of Tenant's obligations hereunder.

5.2 **Return.** Landlord shall return the security deposit, less any amounts properly applied, within thirty (30) days after the later of the expiration of the Term and Tenant's surrender of the Premises.

ARTICLE 6. USE AND COMPLIANCE

6.1 **Permitted Use.** Tenant shall use the Premises solely for the operation of a retail coffee shop (café), the sale of food and beverages for consumption on and off the Premises, and related retail use, and for no other purpose without Landlord's prior written consent.

6.2 **Compliance.** Tenant shall comply with all applicable laws, including the Americans with Disabilities Act and all federal and state health information privacy requirements, in its use and occupancy of the Premises.

ARTICLE 7. MAINTENANCE AND REPAIRS

7.1 **Landlord Obligations.** Landlord shall maintain in good order and repair the structural elements of the Building, the roof, exterior walls, foundations and the base building mechanical, electrical and plumbing systems serving the Premises.

7.2 **Tenant Obligations.** Tenant shall maintain the interior non-structural portions of the Premises in good condition, including all fixtures and equipment installed by Tenant, and shall surrender the Premises in the condition required by Article 12, ordinary wear and tear excepted.

ARTICLE 8. INSURANCE AND INDEMNITY

8.1 **Tenant Insurance.** Tenant shall maintain commercial general liability insurance with limits of not less than $2,000,000 per occurrence and $4,000,000 in the aggregate, naming Landlord as an additional insured, together with professional liability coverage customary for retail food and beverage operations.

8.2 **Waiver of Subrogation.** Landlord and Tenant each waive all rights of recovery against the other for any loss covered by property insurance required to be carried under this Lease.

ARTICLE 9. ASSIGNMENT AND SUBLETTING

9.1 Tenant shall not assign this Lease or sublet all or any portion of the Premises without Landlord’s prior written consent, which shall not be unreasonably withheld, conditioned or delayed. Assignment to an entity controlling, controlled by or under common control with Tenant shall not require consent, provided Tenant gives Landlord not less than fifteen (15) days’ prior written notice.

ARTICLE 10. DEFAULT AND REMEDIES

10.1 **Events of Default.** Each of the following constitutes an event of default: (a) failure to pay any installment of Base Rent or Additional Rent within five (5) days after written notice that the same is past due; (b) failure to perform any other obligation under this Lease within thirty (30) days after written notice; and (c) any general assignment by Tenant for the benefit of creditors.

10.2 **Remedies.** Upon an event of default, Serramonte Retail Partners LLC may pursue any remedy available at law or in equity, including termination of this Lease and recovery of damages as provided in California Civil Code Section 1951.2.

ARTICLE 11. OPTION TO EXTEND

11.1 **Grant of Option.** Provided no event of default is then continuing, Tenant shall have one (1) option to extend the Term, each for an additional period of 3 years, on all of the terms and conditions of this Lease except that Base Rent during each extension period shall be determined under Section 11.3.

11.2 **Exercise.** Each option shall be exercised, if at all, by written notice delivered to Landlord not less than 270 days prior to the then-current Expiration Date. Time is of the essence with respect to the delivery of such notice, and the failure to deliver notice within the period provided shall render the option null and void.

11.3 **Extension Rent.** Monthly Base Rent for the first year of each extension period shall equal the greater of (a) the Monthly Base Rent in effect during the final month of the preceding period, and (b) ninety-five percent (95%) of the fair market rental rate for comparable retail space in the submarket, as reasonably determined by Landlord and Tenant. Thereafter the escalation provisions of Section 3.3 shall continue to apply.

ARTICLE 12. NOTICES

12.1 **Manner of Notice.** All notices, demands, consents and approvals required or permitted under this Lease shall be in writing and shall be deemed given when delivered personally, one business day after deposit with a nationally recognized overnight courier, or three business days after deposit in the United States mail, certified, return receipt requested, addressed as set forth below.

12.2 **Authorized Representative.** Landlord designates **Dana Reyes** as the sole representative authorized to deliver and receive notices, grant consents and execute amendments on Landlord's behalf under this Lease. No modification, waiver or concession shall bind Landlord unless given in writing by such authorized representative. Correspondence from any property manager, agent or other person shall be informational only and shall not modify this Lease.

Notices to Landlord	Serramonte Retail Partners LLC Attn: Dana Reyes, Authorized Representative 1500 Serramonte Blvd, Suite 400, Daly City, CA 94015 dana.reyes@serramonteretail.example
Notices to Tenant	Northbay Coffee Company of California, Inc. Attn: Controller 2001 Junipero Serra Blvd, Daly City, CA 94014 priya.raghunathan@northbaypt.example

12.3 **Entire Agreement.** This Lease contains the entire agreement of the parties with respect to the Premises and supersedes all prior negotiations, representations and agreements, whether written or oral. This Lease may be amended only by a written instrument signed by both parties.

SIGNATURE PAGE

IN WITNESS WHEREOF, the parties have executed this Lease as of the date first written above.

LANDLORD: Serramonte Retail Partners LLC

By: _____

Name: Dana Reyes

Title: Authorized Representative

TENANT: Northbay Coffee Company of California, Inc.

By: _____

Name: Priya Raghunathan

Title: Controller